LIMITATIONS OF BLACK MONEY

BLACK MONEY LIMITS INVESTMENT OPTIONS

The first and biggest limitation from a Lazy Financial Plan perspective is that it limits investment options. We cannot invest a sizeable amount in equities, mutual funds, bank fixed deposits, etc.

On looking around, we noticed that there are only three asset classes, where sizeable black money is being invested–real estate, gold, and lastly personal loans to the people we know and trust. Now, each of these asset classes has specific problems. First, the government introduced RERA for real estate and compulsory PAN registration to buy gold. So, these regulations make it difficult to invest black money in these asset classes. Lastly, personal loans which include black money cannot have attached paperwork to them and therefore offer no legal way to get the money back if the borrower refuses to pay it back. So, this is the first and biggest limitation of black money from a personal finance perspective.

BLACK MONEY IS UNPREDICTABLE

Whenever we plan for a future goal, we invest for a long time knowing that we will meet the goal with some predictability. However, with black money that is not the case. We might save for many years, but something untoward can take away the entire effort and we might not have the resources to meet our goals despite planning for it. The government can change rules and norms that make it difficult to invest or spend black money, they can carry out exercises like demonetization, or even events like IT raids can take away our money. Thus, we can say black money is highly unpredictable and there is a real risk that it might come across as futile to meet our goals.